

AN WAR FOR INDIA

even as prices rose by Rs 60 for every 14.2 kg cylinder and by Rs 142.5 for a 19 kg commercial cylinder. Small eateries and restaurants risk closure and households that rely on the fuel for cooking, too, are feeling the strain.

Meanwhile, exports are being hit. For instance, CRISIL Ratings, which analysed 40 leading ceramic manufacturers accounting for a fourth of the industry's revenue, estimates export revenue may decline 6–7 per cent (around Rs 1,300 crore) due to the Hormuz Strait closure. India's plastic exports, valued at $13 billion (Rs 1.21 lakh crore), include 6–7 per cent to the Middle East, which now stands disrupted due to container shortages and rising freight costs.

Agriculture, too, faces a looming crisis. Heavily dependent on fertiliser supply from the Gulf, disruptions could impact the upcoming kharif crop cycle, pushing food inflation further. Financial markets have turned volatile, with investor sentiment weakening and more than Rs 48 lakh crore, or 10 per cent, being wiped out in investor wealth in just three weeks of war. The rupee plunged to an all-time low of 93.87 to a dollar on March 25, making imports more expensive.

Experts also warn of a major backlash of rising oil prices. "The rise in oil price leads to cost-push inflation in the economy," says Soumya Kanti Ghosh, group chief economic advisor, State Bank of India. "Every $10 increase in the oil price may lead to 35-40 basis points rise in inflation. Higher oil prices may slow down economic growth by 20-25 bps in FY27." Goldman Sachs has pared India's GDP growth for FY26 to 5.9 per cent from the 6.5 per cent it had projected earlier.

IN RESPONSE TO THE DISRUPTION OF THE IRAN WAR, THE MODI GOVERNMENT HAS RAPIDLY MOVED FROM REACTIVE MEASURES TO STRUCTURED CRISIS MANAGEMENT

In response, the Modi government has rapidly moved from reactive measures to structured crisis management. Drawing from the COVID playbook, high-level inter-ministerial groups and monitoring mechanisms have been activated to track fuel supplies, stabilise prices, and secure alternative sourcing where possible. Efforts are under way to prioritise critical sectors such as fertilisers and LPG, manage strategic reserves and cushion vulnerable consumers, alongside diplomatic outreach to keep supply lines open. It promises to be a tough haul to manage the complex, multi-layered crisis affecting energy, economy and external stability simultaneously.

In the pages that follow, we unpack the full scale of the fallout, assess what has been done so far and examine what more India must do to navigate the crisis the world finds itself in. ■